

TENTATIVE RULINGS

LAW & MOTION

DEPT C25

Judge Gassia Apkarian

The court will hear oral argument on all matters at the time noticed for the hearing, **unless the Court has stated that the matter is off calendar.** Do not call the department to verify if you should appear or not. Please read below for the information. **If you would prefer to submit to the Court's tentative without oral argument, advise all counsel first to find out if all parties are submitting, and then the moving party is to telephone the clerk at (657)622-5225 with the status of all parties.** If the moving party has submitted on the matter and there are no appearances by any party at the hearing, the tentative ruling will be the final ruling. Rulings are normally posted on the Internet by 12:00 p.m. the day before the hearing. Generally, motions will not be continued or taken off the calendar after the tentative has been posted. **The moving party shall give notice of the ruling.**

June 23, 2026
10:00 AM

If you want a transcript, you must provide your own court reporter.

#	Case Name	Tentative
101	Forouzandeh vs. Wilmington Savings Fund Society, FSB 25-01479354	Demurrer to Cross-Complaint Cross-defendant Golden Coast Escrow, Inc. ("Golden") demurs to the first and seventh causes of action in the Cross-Complaint of Cross-complainant U.S. Bank Trust National Association ("U.S. Bank"). Plaintiffs filed this action to quiet title in property located at 30732 Paseo Elegancia, San Juan Capistrano, California 92675. Prior to plaintiffs' purchase of the property, the prior owner, Michael Thompson, obtained a loan in the amount of \$500,000.00 from his company, Castle Mortgage Corporation ("Castle"), secured by a deed of trust in favor of Mortgage Electronic Registration Systems, Inc. ("MERS") (the "Castle DOT"). Plaintiffs allege that on March 8, 2024, Golden, as the escrow agent, disbursed purchase money proceeds to Castle consistent with a Castle DOT payoff demand and the Castle DOT has been fully satisfied. However, On September 10, 2024, an agent on behalf

	of MERS purportedly conveyed MERS’s interest in the Castle DOT to Wilmington Savings Fund Society, FSB (“Wilmington”). Plaintiffs allege that Castle had no interest in title to assign and Wilmington had no interest in title to receive. U.S. Bank’s Cross-Complaint alleges that Castle sold the Castle DOT to Saluda Grade Mortgage Funding, LLC on January 30, 2024, and Thompson had actual knowledge of the sale. When Thompson entered into a contract for sale of the property to plaintiffs, he chose Golden as the escrow agent. Thompson had a professional relationship with Golden and Golden knew or should have known that, in light of Thompson’s personal interest and involvement in the Castle DOT, information provided to Golden by Thompson related to the payoff quote was not reliable. U.S. Bank further alleges that Golden knew or should have known that MERS was the beneficiary of the Castle DOT and, pursuant to common practice, that the chain of recorded title to the property was not an accurate and complete source of information. U.S. Bank alleges that Golden never requested from any individual or entity information about a payoff demand for the Castle DOT and that the payment made by Golden to satisfy the Castle DOT was not applied to the Castle loan and the Castle DOT remains valid and enforceable. Seventh Cause of Action for Negligence Golden argues this cause of action fails because an escrow company owes no fiduciary duty or general negligence duty to nonparties to the escrow pursuant to <i>Summit Financial Holdings, Ltd. v. Continental Lawyers Title Co.</i> (2002) 27 Cal.4th 705. U.S. Bank argues that the allegations permit the inference that Golden had actual knowledge of red flags constituting substantial evidence of fraud such
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	that Summit does not foreclose its negligence cause of action. In the Cross-Complaint, U.S. Bank alleges that Golden owed a duty to use reasonable care in managing the escrow to identify the party entitled to payment on the Castle loan and to follow all laws and regulations governing escrow agents and officers in managing the escrow but breached the duties it owed to U.S. Bank. In Summit, a property owner took out a loan from Talbert secured by a deed of trust on the property. (27 Cal.4th at p. 708.) At the same time the deed of trust was recorded, document entitled “Assignment of Deed of Trust” was recorded that assigned the beneficial interest under the note and deed of trust from Talbert to Summit. (Id. at p. 709.) Subsequently, the property owner obtained a new loan and used it in part to pay the note, with BHE handling the transaction and CLTC acting as the escrow holder. (Ibid.) CLTC prepared a preliminary title report noting that the property was encumbered by a deed of trust securing the Talbert note and that an assignment from Talbert to Summit had been recorded. (Ibid.) BHE forwarded a payoff demand from Talbert to CLTC and CLTC paid Talbert escrow funds in accordance with the payoff demand and BHE’s instructions. Summit received no funds from Talbert. (Ibid.) Summit sued CLTC and alleged that CLTC was negligent in making payment to Talbert rather than Summit. (Id. at p. 710.) The California Supreme Court held that CLTC owed Summit no fiduciary or tort duty of care because “an escrow holder “has no general duty to police the affairs of its depositors”; rather, an escrow holder’s obligations are “limited to faithful compliance with [the depositors’] instructions.”” [Citations.] Absent clear evidence of fraud, an escrow holder’s obligations are limited to compliance with the parties’ instructions.” (Id. at p. 711.) The Court noted that even though CLTC “was aware of the assignment from Talbert to Summit, there is no evidence CLTC was aware of any collusion
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or fraud in the fund disbursement that would have adversely affected any party to the escrow.” (Ibid.)

U.S. Bank’s allegations that Golden was aware of collusion or fraud are vague and made on information and belief without including what information has led U.S. Bank to believe that the allegations are true. (Gomes v. Countrywide Home Loans, Inc. (2011) 192 Cal.App.4th 1149, 1158.) U.S. Bank alleges that Golden should have known that information obtained from Thompson was unreliable because Thompson was the sole member/manager, CEO, President, and CFO of Castle. This fact, accepted as true, does not raise a reasonable inference that Thompson was engaged in any fraud or collusion. U.S. Bank also alleges that Golden knew or should have known that MERS was the beneficiary of the Castle DOT based on common practice in the mortgage industry. This is also insufficient. In Summit, CLTC was aware that the deed of trust had been assigned from Talbert to Summit and still followed the instructions to disburse funds to Talbert. Thus, even if Golden knew that MERS was the beneficiary of the Castle DOT, Golden’s conduct in following instructions from a party to the escrow to disburse funds pursuant to a payoff demand was not negligent.

Thus, the Demurrer to the seventh cause of action for negligence is SUSTAINED with 20 days leave to amend.

First Cause of Action for Declaratory Relief

Golden argues the first cause of action fails because the declarations U.S. Bank seeks do not relate to any right or duty of Golden and there is no controversy alleged between U.S. Bank and Golden.

“To qualify for declaratory relief under section 1060, plaintiffs [are] required to show their action . . . present [] two essential elements: ‘(1) a proper subject of declaratory relief, and (2) an actual controversy

		involving justiciable questions relating to the rights or obligations of a party.’ . . . ‘The ‘actual controversy’ language in . . . section 1060 encompasses a probable future controversy relating to the legal rights and duties of the parties.’ . . . It does not embrace controversies that are ‘conjectural, anticipated to occur in the future, or an attempt to obtain an advisory opinion from the court.’” (Lee v. Silveira (2016) 6 Cal.App.5th 527, 546.) Under its declaratory relief cause of action, U.S. Bank seeks a judicial determination that the Castle loan has not been satisfied, and U.S. Bank is not obligated to release the Castle DOT until the loan has been satisfied. As Golden points out, the declarations sought by U.S. Bank have no relation to any legal rights and duties of Golden. Thus, the Demurrer to the first cause of action for declaratory relief is SUSTAINED with 20 days leave to amend. Moving party to give notice
102	Kohlman vs. Adaptive Behavior Center, Inc 24-01449191	Motion to Strike Cross-Complaint Cross-Defendant Adaptive Behavior Center, Inc. (“Cross-Defendant”) moves to strike the Cross-Complaint brought by Cross-Complainant Delight House, Inc. pursuant to Code of Civil Procedure section 877.6(c) and California Rules of Court, rule 3.1382. Plaintiff Irene Kohlman, as an individual and as successor-in-interest and personal representative of the Estate of Donald Kohlman did not oppose the motion. Cross-Complainant/Defendant Delight House, Inc. opposes the motion. Pursuant to Code of Civil Procedure section 877.6(c): “A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-

	obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.” (Code Civ. Proc., § 877.6, subd. (c).) California Rules of Court, rule 3.1382 states: “A motion or application for determination of good faith settlement may include a request to dismiss a pleading or a portion of a pleading. The notice of motion or application for determination of good faith settlement must list each party and pleading or portion of pleading affected by the settlement and the date on which the affected pleading was filed.” On March 24, 2026, the Court granted Defendant Adaptive Behavior Center, Inc.’s Application for Good Faith Settlement. (ROA 161.) According to the Settlement Agreement presented to the Court in the Application, the Settlement Agreement at issue in the Application for Good Faith Settlement between Plaintiff and Defendant Adaptive Behavior Center, Inc. relates only to the Complaint filed on December 23, 2024, which is the Complaint brought by Plaintiff in her individual capacity, Case No. 2024 01449191. Accordingly, the Court will GRANT the motion to strike the Cross-Complaint filed in relation to the Complaint filed by Plaintiff in her individual capacity. This Cross-Complaint was filed on 02/24/2025 and is ROA 21. The Court will not, however, strike the Cross-Complaint filed by Delight House, Inc. against Adaptive Behavior for the claims brought by Plaintiff Irene Kohlman, as Successor-in-Interest and Personal Representative of the Estate of Donald Kohlman. (ROA 232.) Again, the Court only addressed the Settlement Agreement for those claims brought by Plaintiff in her individual capacity – not those brought as Successor-in-Interest and Personal Representative of the Estate of Donald Kohlman. Thus, the Court will not strike ROA 232, which is a cross-complaint related to the Complaint brought by Plaintiff Irene Kohlman, as Successor-in-Interest and Personal Representative of the Estate of Donald Kohlman. In sum, the Motion to Strike is GRANTED as to the Cross-Complaint contained in ROA 21 and DENIED as to the Cross-Complaint contained in ROA 232. Moving party to give notice
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103	D. vs. Seashore Academy, LLC 24-01384607	Motion for Leave to File First Amended Complaint Plaintiff KELLY DOOLEY, as Guardian ad litem for her minor child Z.D (“Plaintiff”), will and hereby does move the Court pursuant to CCP §§ 473(a)(1) and 576, and in full compliance with CRC, Rule 3.1324, for an order granting Plaintiff leave to file a First Amended Complaint (“FAC”). Motion is GRANTED. [CCP§473(a)(1); CRC, Rule 3.1324.] Plaintiff to separately file the First Amended Complaint. Plaintiff to give notice. Notably, denial of leave to amend is appropriate where inexcusable delay and probable prejudice to the opposing party is shown. This may happen where a proposed amendments opens up an entirely new field of inquiry without any satisfactory explanation as to why the major change in point of attack had not been made long before trial. (Estate of Murphy v. Gulf Ins. Co. (1978) 82 Cal.App.3d 304, 311.) In this instance, Plaintiff’s Complaint containing six (6) causes of action was filed on 3/6/2024. On 11/3/2025, Plaintiff substituted in new counsel, Michael A. Trauben, of Singh, Singh and Trauben, LLP. Mr. Trauben declares, “The facts giving rise to the amended allegations were discovered by successor counsel after the firm’s substitution into this matter on November 3, 2025. Upon a thorough review of the file, the deposition testimony, and Defendant’s own admissions concerning its unlicensed status and business operations, it became clear that the existing factual allegations amply support the additional legal theory under the Unruh Civil Rights Act. (Decl. of Trauben¶5.) Thereafter, despite having knowledge of the alleged need for the addition of a Violation of Ca Civ Code§51
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		cause of action to the Complaint, Plaintiff waited to file this motion until 4/14/2026 (five months later.) Yet, Attorney Trauben explains the delay in ¶ 6 of his declaration wherein he states that he resides in Pacific Palisades and the fire rendered his home uninhabitable to the extent that he had to relocate and significant time was spent on contractor coordination, temporary housing logistics, and family support. Additionally, both of his sons sustained injuries to their ACLs. While the Court certainly sympathizes with Mr. Trauben, it is unclear why he would take the case given his personal situation. Also, it is unclear why someone else in the firm was incapable of filing this Motion. Nevertheless, no real prejudice exists. Trial is set for 11/9/2026. Defense counsel has been aware of the potential cause of action since April 2026. Defendant has had sufficient time to prepare any defense it may have to this cause of action (which is based on the same facts as the other causes of action). Furthermore, discovery is ongoing. An IDC is set for July 2026. To the extent any prejudice exists to Defendant, it may be mitigated by briefly continuing the trial. Plaintiff to separately file the First Amended Complaint. Plaintiff to give notice.
104	Rodriguez vs. Roline Express Inc. 25-01463168	1. Motion to Be Relieved as Counsel of Record x 3 2. Case Management Conference Cedric Severino (“Moving Attorney”) moves to be relieved as counsel of record for Roline Express, Inc., Andrea Albescu, and Lucian Boicu. The motions are unopposed and Moving Attorney has stated a basis for permissive withdrawal under the Rules

		of Professional Conduct, Rule 1.16. All other requirements of the applicable California Rules of Court are satisfied. Accordingly, the motions are GRANTED. The orders relieving counsel will be effective upon counsel filing proof of service of a copy of the signed orders (MC-053) on the clients and on all parties that have appeared in the case. (California Rules of Court, Rule 3.1362(e). Moving Party to give notice.
105	Moslehi vs. County of Orange 24-01428581	Motion to Dismiss Defendants Baker Ranch Affordable, L.P and Solari Enterprises, Inc. (“Defendants”) moves to dismiss this action brought by Plaintiff Arah Moslehi with prejudice pursuant to Code of Civil Procedure sections 581(f)(2), 588, and 1005(13) on the grounds that Plaintiff failed to file an amended complaint following the Court’s 10/21/2025 Minute Order sustaining Defendants’ demurrer with leave to amend. The motion is unopposed. Code of Civil Procedure section 581(f)(2) states that the “court may dismiss the complaint as to that defendant when . . . [e]xcept where Section 597 applies, after a demurrer to the complaint is sustained with leave to amend, the plaintiff fails to amend it within the time allowed by the court and either party moves for dismissal.” (Code Civ. Proc., § 581, subd. (f)(2).) California Rules of Court, rule 3.1320(g) states: “Following a ruling on a demurrer, unless otherwise ordered, leave to answer or amend within 10 days is deemed granted, except for actions in forcible entry,

		forcible detainer, or unlawful detainer in which case 5 calendar days is deemed granted.” (Cal. Rules of Court, rule 3.1320, subd. (g).) Here, the Court sustained Defendant’s demurrer to Plaintiff Arah Moslehi’s complaint with leave to amend on 10/21/2025. (ROA 99.) On 10/22/2025, Defendants filed and served a Notice of Ruling wherein Defendants advised Plaintiff that the Court sustained Defendants’ demurrer to the Complaint with leave to amend. (ROAs 103 and 105.) To date, Plaintiff has not filed an amended complaint. Plaintiff’s deadline to do so passed. 10 days after Defendants served notice of the Court’s ruling on their demurrer is Saturday, 11/01/2025. Again, to date, Plaintiff has not filed an amended complaint. As such, the Motion to Dismiss is GRANTED. Plaintiff Arah Moslehi’s Complaint is deemed DISMISSED WITH PREJUDICE as to Defendants Baker Ranch Affordable, L.P and Solari Enterprises, Inc. The requests for judicial notices are GRANTED. “A court may take judicial notice of the [e]xistence of each document in a court file but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments.” (People v. Franklin (2016) 63 Cal.4th 261, 280.) Moving parties to give notice.
106	Rebel Off Road LLC vs. Diaz 25-01503796	Motion to Set Aside/Vacate Default Plaintiffs REBEL OFF ROAD LLC, BOND GILMER, RANDUN SANTOYO, and AMADOR SANTOYO will and hereby does move this Court for an order

		vacating the Clerk's Entry of Default entered on January 5, 2026. Unopposed Motion is granted pursuant to CCP§473, CCP§ 425.11. Defendant to answer the Complaint within 30 days from service of this Court's notice of ruling. [CCP § 412.20(a)(3).] Plaintiff to give notice.
107	Bensalem vs. Mobilitas Insurance Company 26-01558997	1. Motion for Order to Stay Proceedings Respondent Mobilitas Insurance Company moves to stay arbitration proceedings pending resolution of respondent Petitioner Imed Bensalem's occupational accident insurance claim. For the reasons set forth below, the motion is DENIED. Mobilitas has failed to provide any evidence or authority to show the court has the power to grant the requested relief in this case. Furthermore, the Court grants Petitioner's motion to compel arbitration, which is being heard concurrently with this motion. As noted in this Court's ruling on that motion, Insurance Code section 11580.2, subdivision (f), states, "If the insured has or may have rights to benefits, other than nonoccupational disability benefits, under any workers' compensation law, the arbitrator shall not proceed with the arbitration until the insured's physical condition is stationary and ratable. In those cases in which the insured claims a permanent disability, the claims shall, unless good cause be shown, be adjudicated by award or settled by compromise and release before the arbitration may proceed." (Emphasis added.) As such, section 11580.2, subdivision (f), specifies what the arbitrator shall and shall not do. It makes no mention of the Court staying any arbitration proceedings. Whether to proceed would seem to be an

	issue reserved to the arbitrator. (See Briggs v. Resolution Remedies (2008) 168 Cal.App.4th 1395, 1400-1401.) Accordingly, the motion is DENIED. Petitioner to give notice. 2. Motion to Compel Arbitration Petitioner Imed Bensalem moves to compel respondent Mobilitas Insurance Company (“Mobilitas”) to arbitrate petitioner’s claims for damages arising out of a June 23, 2024 motor vehicle collision with a third-party driver. Petitioner further requests and award of attorney fees incurred in connection with this motion. Petitioner was acting as a Lyft driver at the time of the incident and claims to have suffered injuries as a result. Petitioners contend that Mobilitas must proceed to arbitration pursuant to a written Uninsured Motorist Policy with Lyft, Inc., which insured rideshare drivers such as petitioners. The parties do not dispute that there is an enforceable agreement to arbitrate that applies to petitioner’s claims against Mobilitas for coverage under the Mobilitas Uninsured/Underinsured Motorist Policy. The parties also do not dispute that, in addition to the Mobilitas policy, petitioner was also insured as a Lyft driver under an Occupational Accident Insurance (“OAI”) policy administered by Blue Star Claims LLC and underwritten by U.S. Fire Insurance Company. Mobilitas oppose the motion on the grounds that the matter is not yet ripe for arbitration. Mobilitas argues that it is entitled to reduce petitioner’s recovery for any amount paid under any worker’s compensation law, including occupational accident insurance benefits. Per Mobilitas, in order to prevent double recovery, Insurance Code section 11580.2(f) expressly permits insurers to delay arbitration of underinsured motorist claims while a worker’s compensation claim is pending, absent good cause. Staying the uninsured
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		motorist arbitration is the only way to prevent double recovery or a bad faith resolution between the Occupational Accident Insurance carrier and claimant, to prevent conflicting findings of law and fact, and to compel a good faith tender of the claim by the claimant to the Occupational Accident Insurance carrier. Further, because both California law and the Mobilias policy expressly provide that Mobilias may offset any UIM payment by the amount of the Occupational Accident Insurance payout, Mobilias must necessarily know the final amount of the Occupational Accident Insurance payout prior to the UM/UIM arbitration. Business & Professions Code section 7455(a) provides that network companies operating in California must provide, for the benefit of app-based drivers, occupational accident insurance to cover medical expenses and lost income resulting from injuries suffered while the app-based driver is online with a network company's online-enabled application or platform. Subdivision (e) provides that any benefits provided under subdivision (a) "shall be considered amounts payable under a worker's compensation law . . . for the purpose of determining amounts payable under any insurance provided under Article 2 (commencing with Section 11580) of Chapter 1 of Part 3 of Division 2 of the Insurance Code." Section 11580.2(f) of the Insurance Code in turn provides, in relevant part: "If the insured has or may have rights to benefits, other than nonoccupational disability benefits, under any workers' compensation law, the arbitrator shall not proceed with the arbitration until the insured's physical condition is stationary and ratable." Subdivision (h)(1) further provides that any loss payable under the terms of an uninsured motorist endorsement may be reduced by the amount paid under any workers' compensation law, exclusive of nonoccupational disability benefits. While Mobilias argues that arbitration between it and petitioner should be stayed until resolution of
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		petitioner's OA claims because Mobilitas is entitled to reduce any payment to petitioner by the amount paid by Blue Star, Mobilitas does not dispute that petitioner's claim under its policy should be arbitrated pursuant to the policy's terms. However, Mobilitas' right to offset any payments to petitioner based on amounts paid by Blue Star is a defense that Mobilitas may raise in arbitration. Mobilitas' right to any offset does not preclude this Court from compelling Mobilitas to arbitration. If Mobilitas believes arbitration should be stayed until the proper amount of an offset can be calculated, Mobilitas may raise the argument with the arbitrator. In light of the above, the Motion to Compel Arbitration is GRANTED. Petitioner's request for attorney fees is DENIED. The authorities cited by Petitioner do not support such an award in connection with a motion to compel arbitration. A Status Conference re: Arbitration is set for February 23, 2027 at 9:30 a.m. in Department C25. Petitioner to give notice.
108	Barkley vs. H-Mart Supermarket 25-01461644	Plaintiff Brent Barkley moves for leave to file an amended complaint. For the reasons set forth below, the Motion is DENIED. Plaintiff previously filed a motion for leave to amend for hearing on April 6, 2026. That prior motion was denied because there was no proof of service, Plaintiff erroneously cited to the Federal Rules of Civil Procedure, and the motion was not accompanied by any supporting declaration or proposed amended pleading. Plaintiff filed the instant motion on April 8, 2026. Again, there is no proof of service showing the moving papers were served on defense counsel. A proof of

		service filed on April 8, 2026 indicates that defense counsel was served with a Garden Grove Police Report and photographs of the H-Mart Supermarket, not the moving papers. Further, the moving papers again cite to the Federal Rules of Civil Procedure and are not accompanied by a supporting declaration or proposed amended pleading. Thus, the instant motion does not comply with Cal. Rules of Court, Rule 3.1324. The Motion is therefore DENIED. Moving Party to give notice.
109	KAREN SUE NAYLOR as the Chapter 7 bankruptcy trustee for Elite Aerospace Group, Inc. vs. Federal Insurance Company 22-01290891	Motion for Summary Judgment and/or Adjudication Defendant, Federal Insurance Company (“Federal”), moves for an order granting summary judgment in its favor on all claims asserted within the First Amended Complaint of Plaintiff, Karen Sue Naylor (“Plaintiff” or “Naylor”), as Chapter 7 bankruptcy trustee for Elite Aerospace Group, Inc. (“Elite”), and seeks summary adjudication as to Plaintiff’s first and second causes of action and the claim for punitive damages. Merits A defendant moving for summary judgment or summary adjudication has met his or her burden of showing that a cause of action has no merit if he or she shows one or more elements of the cause of action cannot be established, or that there is a complete defense to that cause of action. (Code Civ. Proc. § 437c(p)(2).) Once the defendant has met that burden, the burden shifts to the plaintiff to show that a triable issue of one or more material facts exists as to that cause of action or a defense. (Ibid.) A plaintiff must set forth specific facts showing that a triable issue of material fact exists as to a cause of action or a defense thereto. (Ibid.) A cause of action has no merit if either

		(1) one or more of the elements of the cause of action cannot be separately established, even if that element is separately pleaded; or (2) a defendant establishes an affirmative defense to that cause of action. (Code Civ. Proc. § 437c(o).) On a motion for summary judgment, the pleadings define the issues. (<i>Metromedia, Inc. v. City of San Diego</i> (1980) 26 Cal.3d 848, 885, reversed on other grounds in <i>Metromedia, Inc. v. City of San Diego</i> (1981) 453 U.S. 490.) In the absence of some request for amendment, there is no occasion to inquire about possible issues not raised by the pleadings. (<i>Ibid.</i>, internal citations and quotations omitted.) If an issue is not properly before the trial court on a motion for summary judgment, it cannot be asserted as a ground for sustaining that judgment. (<i>Ibid.</i>) “Summary judgment cannot be granted on a ground not raised by the pleadings. [Citation.]” (<i>Bostrom v. County of San Bernardino</i> (1995) 35 Cal.App.4th 1654, 1663.) “When the defendant moves for summary judgment and makes a prima facie showing that one or more elements of plaintiff’s cause of action cannot be established, the burden shifts to the plaintiff to make a prima facie showing that the element in question can be established. [Citations.] If the plaintiff cannot do so, summary judgment should be granted. [Citation.] When deciding whether to grant summary judgment, the court must consider all of the evidence set forth in the papers (except evidence to which the court has sustained an objection), as well as all reasonable inferences that may be drawn from that evidence, in the light most favorable to the party opposing summary judgment. [Citations.]” (<i>Avivi v. Centro Medico Urgente Med. Ctr.</i> (2008) 159 Cal.App.4th 464, 467.) If the defendant fails to make the initial showing, it is unnecessary to examine the plaintiff’s opposing evidence and the motion must be denied. (<i>Stewart v. Superior Court</i> (2017) 16 Cal.App.5th 87, 100.) “[I]f the moving papers establish a prima facie showing that
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justifies a judgment in the defendant’s favor, the burden shifts to the plaintiff to make a prima facie showing of the existence of a triable material factual issue. In meeting this obligation, the plaintiff may not rely on the mere allegations of its pleadings, but must set forth the specific facts showing that a triable issue of material fact exists as to that cause of action. There is a triable issue of fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (Ibid., internal quotations omitted.)

In determining a motion for summary judgment, the court is “required to view the evidence and the reasonable inferences therefrom in the light most favorable to the party opposing the summary judgment motion; doubts as to whether there are any triable issues must be resolved in favor of the opposing party; and equally conflicting evidence or inferences require denial of a summary judgment motion.” (Essex Ins. Co. v. Heck (2010) 186 Cal.App.4th 1513, 1522.)

First Cause of Action for Breach of Contractual Duty to Pay

Issue No. 1: Federal is entitled to summary adjudication of Plaintiff's first cause of action for breach of contractual duty to pay a covered claim because Plaintiff is unable to establish the amount of the alleged covered claim Federal should pay.

Federal contends that Plaintiff cannot establish damages for the first cause of action for breach of contract, and therefore cannot prevail on this claim. Federal asserts that Plaintiff has failed to produce sufficient evidence to establish some reasonable basis of computation of the amount of Elite’s alleged covered loss. Specifically, Federal asserts that Plaintiff lacks evidence sufficient to calculate business income loss, has failed to present sufficient evidence or documentation to determine with any certainty Elite’s

	probable future sales, and provided no specific amounts or calculations for any contractual damages, as well as produced no documents that would establish Elite's pre-loss financial condition, status of pending contracts, ledgers with breakdowns of expenses, monthly inventory balances, monthly sales reports, and budget or forecasted production and sales information. Federal also asserts that Federal paid all amounts due for alleged extra expenses including the cost to relocate/store equipment and personal property, the lease cancellation fees for the Reynolds location, and the initial payments for the new location. Federal further asserts that Federal is entitled to a credit of \$2,384,290.28 for any established covered loss as Federal has already issued payment for the equipment and machinery damaged in the loss to Big Shoulders, as the loss payee under the Policy. Plaintiff contends that Federal owes Elite business income benefits even if Elite did not make a profit, and is entitled to recover its operating expenses. Plaintiff asserts that they have retained a certified forensic accountant that has calculated that Elite's business income losses under the policy were \$3,064,075, which is calculated from the time of the fire (April 10, 2021) to when Elite filed for bankruptcy on September 13, 2021. Plaintiff also contends that Federal owes Elite business personal property benefits, that the CNC machines damaged in the fire could not be restored or revitalized for sale, and that the total loss has been appraised at \$5,675,530–\$5,775,530, as well as that Elite suffered a \$266,769.39 loss from damage to non-machine business personal property. Plaintiff asserts that any payment to Big Shoulders Capital and whether Federal is entitled to a credit is irrelevant because the cost to replace the damaged business personal property exceeds the amount that Federal paid to Big Shoulders Capital, and that Federal has not established that it is entitled to a credit, as a matter of law.
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		To support an action at law for breach of contract, the plaintiff must show it has suffered damage. [Citations.] “ ‘Contractual damages are “the amount which will compensate the party aggrieved for all detriment proximately caused thereby, or which, in the ordinary course of things, would likely to result therefrom.” [Citations.]’ [Citations.]” (Emerald Bay Community Assn. v. Golden Eagle Ins. Corp. (2005) 130 Cal.App.4th 1078, 1088.) This includes the “amount of the covered loss that [Defendant] failed to pay.” (California Civil Jury Instructions, 2300.) “Damages for breach of contract must be clearly ascertainable. [Citation.]” (DuBarry Internat., Inc. v. Southwest Forest Industries, Inc. (1991) 231 Cal.App.3d 552, 562.) However, “[w]here the fact of damages is certain, . . . , the amount of damages need not be calculated with absolute certainty.” (Acree v. General Motors Acceptance Corp. (2001) 92 Cal.App.4th 385, 398.) “The law requires only that some reasonable basis of computation be used, and result reached can be a reasonable approximation.” (Ibid.) Here, the operative First Amended Complaint (“FAC”) alleges that Federal refused to pay the insurance claim of Elite Aerospace Group, Inc. (“Elite”) after a fire damaged its state-of-the-art equipment on April 10, 2021, and crippled its business operations. (FAC, ¶ 1.) The FAC alleges that in late 2020, Elite sought to insure numerous computer-guided or “CNC” machines pursuant to its agreement with a company named Big Shoulders Capital LLC (“Big Shoulders Capital”) as in November 2019, Elite borrowed over \$2 million from them, using some of the CNC machines as collateral, and that Federal bound coverage on March 10, and issued a policy (Number 36067716-NBO), effective from March 10, 2021 to March 10, 2022, which provided \$12,822,871 in personal property coverage and \$6,960,875 in coverage for business income with extra expense, and named Big Shoulders Capital as one
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		of the loss payees (the “Policy”). (FAC, ¶¶ 13, 20, 34-35.) The first cause of action alleges that Federal refused to pay the claim and unlawfully rescinded the Policy. (FAC, ¶ 75.) Federal asserts that Naylor has failed to produce evidence required to satisfy the elements of the cause action as to the element of damages. “A defendant can satisfy its initial burden to show an absence of evidence through ‘admission by the plaintiff following extensive discovery to the effect that he has discovered nothing’ [citation], or through discovery responses that are factually devoid. [Citations.]” (Chavez v. Glock, Inc. (2012) 207 Cal.App.4th 1283, 1302.) “Only after the defendant’s initial burden has been met does the burden shift to the plaintiff to demonstrate, by reference to specific facts, not just allegations in the pleadings, there is a triable issue of material fact as to the cause of action. [Citations.]” (Ibid.) “When the moving party is a defendant, it must show that the plaintiff cannot establish at least one element of the cause of action. (Aguilar, supra, 25 Cal.4th at p. 853, 107 Cal.Rptr.2d 841, 24 P.3d 493.) ‘[T]he defendant must “support[]” the “motion” with evidence including “affidavits, declarations, admissions, answers to interrogatories, depositions, and matters of which judicial notice” must or may “be taken.” (Code Civ. Proc., § 437c, subd. (b).) The defendant may, but need not, present evidence that conclusively negates an element of the plaintiff’s cause of action. The defendant may also present evidence that the plaintiff does not possess, and cannot reasonably obtain, needed evidence—as through admissions by the plaintiff following extensive discovery to the effect that he has discovered nothing.’ (Aguilar, at p. 855, 107
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Cal.Rptr.2d 841, 24 P.3d 493.)” (Nicoletti v. Kest (2023) 97 Cal.App.5th 140, 143–144.)

A moving defendant needs to provide evidence, such as factually devoid discovery responses, to shift the burden when arguing that a plaintiff has no evidence and cannot reasonably obtain the needed evidence. (See Gaggero v. Yura (2003) 108 Cal.App.4th 884, 891 [finding that pointing out the absence of evidence to support a plaintiff’s claim is insufficient to meet the moving defendant’s initial burden of production and that a defendant must also produce evidence that the plaintiff cannot reasonably obtain evidence to support his or her claim].)

Federal asserts that it served Naylor with discovery seeking financial documentation related to the damage claim asserted, and that the materials provided failed to provide sufficient detailed financial information regarding the pending purchase orders, accounts payable or accounts receivable at the time of April 10, 2021, fire, or documentation of any cancelled contracts after the fire. (SSUMF, 65-66.) Federal also asserts that Naylor was asked to describe all damages attributable to “FIC’s handling of Elite’s claim, including the amount and calculation method for each category of damages. (SSUMF, 67.) Federal further asserts that no specific amounts or calculations for any contractual damages were provided, and that when asked for documentation that would establish Elite’s pre-loss financial condition, status of pending contract, ledger with breakdowns of expenses, monthly inventory balances, monthly sales reports, and budget or forecasted production and sales information, Naylor did not produce non-privileged responsive documents that Naylor indicated would be produced. (SSUMF, 68.)

Federal asserts that certain financial documentation was provided, but that nothing within the documents produced or written discovery responses provide details of Elite’s actual pending orders or regular expenses, and that co-founder of Elite, Zeeshawn Zia explained

	during his Examination Under Oath (“EUO”) of 2021 that due to COVID the contracts that were in place in 2019 had reduced demands in 2020. (SSUMF, 1, 69-71.) Federal additionally asserts that Mr. Zia testified that he could not recall what was deemed as “normal” sales for Elite in 2019, in 2020, or in early 2021; that he was not aware of any documented projections for Elite’s future sales or profits; and Elite maintained sales records (including what was ordered, the cost, and the purchaser) and that these records were provided to Naylor. (SSUMF, 72-74.) Furthermore, Federal asserts that Naylor stated that by the time of her appointment as Trustee, Elite no longer had access to its electronically stored financial records because it had been unable to continue fees. (SSUMF, 61.) Federal cites to Naylor’s responses to Requests for Production of Documents, Set One, including “relevant” document production as well as Naylor’s responses to Special Interrogatories, Set One. The discovery responses and deposition testimony cited do not establish, as a matter of law, that Plaintiff does not possess, and cannot reasonably obtain, needed evidence to establish the amount of the alleged covered loss. As a result, Federal fails to meet its burden to establish that Plaintiff has no evidence and cannot reasonably obtain needed evidence to establish damages. The motion for summary adjudication as to Plaintiff’s first cause of action (Issue No. 1) is DENIED. Second Cause of Action for Breach of the Implied Covenant of Good Faith and Fair Dealing Issue No. 2: Federal is entitled to summary adjudication of Plaintiff’s second cause of action for breach of the implied covenant of good faith and fair dealing because Plaintiff is unable to establish that Federal’s conduct in the investigation and denial of coverage due to concealment was unreasonable.
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		Issue No. 3: Federal is entitled to summary adjudication of Plaintiff's second cause of action for breach of the implied covenant of good faith and fair dealing because it did not conduct an improper investigation into Elite's financial condition. In the context of insurance coverage, “[t]here must be proof the insurer failed or refused to discharge its contractual duties not because of an honest mistake, bad judgment, or negligence, “but rather by a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement.” (Century Sur. Co. v. Polisso (2006) 139 Cal.App.4th 922, 949.) “To establish a bad faith claim, the insured must show that (1) benefits due under the policy were withheld and (2) the reason for withholding the benefits was unreasonable or without proper cause.” (Id.) “The ultimate test of bad faith liability in first party cases is whether the refusal to pay policy benefits, or alleged delay in paying, was unreasonable. [Citations.]” While the reasonableness of an insurer’s claims handling conduct is ordinarily a question of fact, it becomes a question of law where the evidence is undisputed and but one inference can be drawn from the evidence. [Citation.]” (Carlton v. St. Paul Mercury Ins. Co. (1994) 30 Cal.App.4th 1450, 1456.) It is alleged that Federal sought reasons to justify denying the claim rather than searching for evidence to support the claim, and that Federal fabricated a basis for rescinding the Policy after being unable to find any legitimate basis for rescinding the Policy. (FAC, ¶¶ 2-3.) Plaintiff asserts that in its denial letter, Federal claimed that Elite intentionally misrepresented and concealed several material facts concerning its finances during the application process, that many of these facts were not material for deciding whether to issue coverage, and that Federal never asked about them. (FAC, ¶ 3.) It is alleged that there was no concealment
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or misrepresentation as Federal was on notice of Elite's precarious financial situation, but Federal chose to issue the Policy based on an incomplete application. (FAC, ¶ 4.) It is also alleged that Federal waived its right to rescind the Policy on any of these supposed misrepresented or concealed facts, as it had a duty to further inquire, but chose not to before issuing a Policy. (Ibid.)

The FAC alleges that Elite's chief financial officer, Shane Cormier, completed a form needed for binding coverage, which estimated that Elite's 2020 annual business income was negative \$10 million, and that it would take nine months (after January 2021) for Elite to return to its previous level of business. (FAC, ¶¶ 25, 27-28.) The FAC also alleges that although federal knew Elite had struggled financially, and had a net annual income of negative \$10 million, it asked no further questions on the topic of Elite's financial condition, and that Federal agreed to bind coverage just 14 minutes after receiving Elite's insurance broker's email. (FAC, ¶¶ 31-32.)

Plaintiff alleges that Elite made a claim for the loss in accordance with the Policy; that Federal set out to deny it from the outset; and that "[a]fter its initial investigation, which ruled out any foul play or other problems with the claim, Federal sought to avoid paying the claim by other means: rescinding the Policy by conducting postclaim underwriting." (FAC, ¶¶ 37-38.) Plaintiff alleges that Federal's investigation "dragged on for months" and that as part of its plan to rescind the Policy, Federal began investigating topics that had little to nothing to do with the loss, focusing its efforts on finding any information it could use to accuse Elite of misrepresenting or concealing material facts during the application process. (FAC, ¶¶ 40-41.) It is alleged that after over a year, Federal "consummated its wrongful denial by improperly rescinding the Policy." (FAC, ¶ 46.) Plaintiff alleges that "[t]his decision was made by David L. Massey,

	who authored the May 27, 2022, denial letter.” (FAC, ¶47.) The FAC alleges that Federal identified four instances that it claimed were “intentional misrepresentations and concealment of material facts” including: “[1] The failure to fully disclose Elite’s financial condition or [2] the notice that was given that the property being sought to be insured would be the subject of a foreclosure sale, [3] the failure to disclose the pending SEC investigation into whether Elite was obtaining investors through securities fraud and [4] the misrepresentation that funding for the business was ‘secured.’” (FAC, ¶ 49.) The FAC alleges that Federal knew that it had no basis to rescind the Policy on these grounds, and that for each of these claimed misrepresentations or concealed facts, “Federal either: knew that the charge of misrepresentation or concealment was false, knew that the misrepresented or concealed fact was not material, or waived its right to rescind based on any misrepresentation or intentional concealment of that fact.” (FAC, ¶ 50.) The Prayer for Relief alleges that Plaintiff seeks damages for Federal’s breach of contractual duty to pay a covered claim under the Policy. (FAC, Prayer for Relief, ¶ a.) The second cause of action for breach of the duty of good faith and fair dealing incorporates the above allegations, and alleges that Federal breached its duty of good faith and fair dealing owed to Elite through the following unreasonable conduct committed without proper cause: a) failing to affirm or deny coverage with a reasonable time after proof of loss requirements were completed and submitted; b) conducting a biased claim investigation aimed at denial rather than a full, fair and thorough claim investigation;
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		c) failing to diligently search for evidence to support the claim and instead focusing exclusively on evidence to defeat the claim; d) engaging in post claim underwriting for the sole purpose of engineering a rescission of the Policy; e) unreasonably prolonging the claim investigation and delaying resolution of the claim; f) rescinding the Policy based on insufficient cause; g) misleading Elite by referring to a material misrepresentation on the application when there was no misrepresentation, let alone a material one; h) withholding the benefit due under the Policy; i) failing to consider Elite’s interests as much as its own in evaluating the claim; j) denying the claim as a matter of company economics instead of based on the merits of the claim. (FAC, ¶ 77.) Initially, there is no dispute that Federal did not rescind the Policy but voided the Policy. “ ‘ “The burden of a defendant moving for summary judgment only requires that he or she negate plaintiff’s theories of liability as alleged in the complaint. A ‘moving party need not “. . . refute liability on some theoretical possibility not included in the pleadings.” [Citation.]’ . . . ‘ “[A] motion for summary judgment must be directed to issues raised by the pleadings. The [papers] filed in response to a defendant’s motion for summary judgment may not create issues outside the pleadings and are not a substitute for an amendment to the pleadings.” ’ ” [Citation.]’ [Citation.]” (Lockhart v. County of Los Angeles (2007) 155 Cal.App.4th 289,
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At no point does the FAC allege that Federal improperly or unreasonably voided the Policy. Indeed, in footnote 2 to the Opposition, Plaintiff concedes that the FAC mentions “rescinding” the Policy and “post-claims underwriting” but asserts that “the true legal issue is whether Federal had a basis to ‘void’ the policy.” (Opposition, at p. 7, fn. 2.) However, to the extent that Federal argues that summary judgment of the second cause of action is proper based on a theory of improper rescission, Federal does not seek summary adjudication of the second cause of action on the basis that it did not rescind the Policy. A notice of motion must state the “grounds upon which it will be made.” (Homestead Savings v. Superior Court (1986) 179 Cal. App. 3d 494, 498 [citing Code Civ. Proc. § 1010] (“Homestead”).) “In the case of a motion for summary adjudication, the motion must at least identify the specific issues or sub issues to be adjudicated.” (Ibid.) The court has no power to adjudicate others. (Maryland Cas. Co. v. Reeder (1990) 221 Cal. App. 3d 961, 974 n. 4; Homestead, supra, 179 Cal. App. 3d at p. 498.) A party does not waive any requirement of notice for a sub issue that was not set forth in the notice by responding to the argument. (Homestead, supra, 179 Cal. App. 3d at p. 498.)

In addition, Plaintiff does not dispute Federal’s assertion that post-claims underwriting is not applicable to commercial insurance, which is at issue here. (Colony Ins. Co. v. Crusader Ins. Co (2010) 188 Cal.App.4th 743, 746, 755 [finding post-claims underwriting has been prohibited in the context of health insurers and automobile liability insurance and that it did not apply to insurance for an apartment building].) This case does not involve a health insurer or an automobile liability insurer or the public policy of protecting injured third parties and Plaintiff does not create a triable issue of fact as to whether post-claims underwriting applies or that Federal engaged in post-

	claims underwriting. However, again, Federal does not seek summary adjudication of the second cause of action as to post-claims underwriting. Despite the lack of any allegation that Federal improperly or unreasonably voided the Policy, both parties thoroughly address this point, and Federal does not demonstrate that there exists a legally significant distinction between rescinding a policy and voiding a Policy as to Plaintiff’s claims in this action. As to whether Federal properly denied the claim and voided the Policy pursuant to the Concealment Or Misrepresentation condition, it is undisputed that the Policy contains a Concealment Or Misrepresentation provision which states: “This Insurance is void if you or any other insured intentionally conceals or misrepresents any material fact or circumstance relating to this insurance at any time.” (SSUMF, 19.) “A fraud and concealment clause in an insurance policy generally voids the policy upon the insured’s attempts to deceive the insurer. [Citation.] Deceit may involve false representations to obtain insurance coverage or to obtain benefits after a claimed loss. [Citation.]” (Leasure v. MSI Ins. Co. (1998) 65 Cal.App.4th 244, 248.) “Neglect to communicate that which a party knows, and ought to communicate, is concealment.” (Ins. Code § 330.) “Each party to a contract of insurance shall communicate to each other, in good faith, all facts within his knowledge which are or which he believes to be material to the contract and as to which he makes no warranty, and which the other has not the means of ascertaining.” (Ins. Code § 332.) “The right to information of material facts may be waived, either (a) by the terms of insurance or (b) by neglect to make inquiries as to such facts, where they are distinctly implied in other facts of which information is communicated.” (Ins. Code § 336.) The following asserted material facts are undisputed. Elite, though its insurance broker Acrisure of
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	California, LLC dba Brakke-Schafnitz Insurance Brokers, LLC, submitted an Accord Commercial Insurance Application dated January 8, 2021, to Federal. (Plaintiff’s Response Separate Statement (“PSS”), 8.) The cover email for the application informed Federal that the Hartford policy had been cancelled for "non-pay (no claims). They [Elite] have since secured funding, regained sales momentum and are looking to rewrite these coverages ASAP." (SSUMF, 9.) The application did not have a response to question no. 9 which asked, “HAS APPLICANT HAD A FORECLOSURE, REPOSSESSION, BANKRUPTCY OR FILED FOR BANKRUPTCY DURING THE LAST FIVE (5) YEARS?” (SSUMF, 10.) In February 2021, Federal asked whether Elite's operations dealt in metal or plastics, and on March 2, 2021, Federal issued an insurance proposal for Elite noting that the insurance quote would be subject to: a satisfactory Loss Control Survey; the Insured's last two fiscal Year-End Balance Sheets & Income Statements; and a signed Business Income Worksheet. (PSS, 11.) Brakke forwarded the request for financial information to Elite, who provided him with the Business Income Worksheet and financial statements for 2018, 2019 and 2020 through November. (PSS, 12.) Brakke forwarded these same documents to Federal on March 8, 2021. (SSUMF, 13.) Federal underwriter Juliette Gamini reviewed the provided documents and did not note anything within the materials that caused concern. (PSS, 14.) She also did not make a further request for additional financial information from Elite or follow-up questions regarding the submitted worksheet. (PSS, 15.) Gamini agreed to bind the insurance policy that same day. Federal issued insurance policy number 3606-77-16-NBO (eff. 3-10-21 to 3-10-22) to Elite. (PSS, 17.) Per Elite's request, Big Shoulders Capital was listed as a Loss Payee in regard to the Reynolds Property and the Irvine Property. (PSS, 18.) As alleged in the FAC, one of the instances of an intentional misrepresentation or concealment upon
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		which Federal relied to deny the claim and void the Policy was the failure to disclose notice that was given that the property sought to be insured would be the subject of a foreclosure sale. (FAC, ¶ 49.) Federal asserts three material facts as to the failure to disclose the foreclosure sale. Federal asserts that while the application and additional documentation was under review, Big Shoulders issued a Notice of Sale advertising a foreclosure sale of Elite’s property to take place on March 5, 2021, due to Elite’s defaults on the Note, and that Elite did not inform Federal of the Foreclosure Sale notices. (SSUMF, 20-21.) It is undisputed that the foreclosure sale took place on March 12, 2021. (PSS, 22.) In support of these assertions, Federal cites to portions of the EUO of Shane Cormier of Elite wherein Cormier states that he does not recall receiving the Notice of Public Disposition of Collateral before March 5, 2021, does not remember ever talking to Mr. Brakke about the foreclosure sale that had been noticed and does not recall . (Ex. R to Federal’s COE, Cormier EUO, 76:14-77:10, 82:18-22, 88:6-12, 90:3-6, 91:18-23.) Although Federal asserts that Elite had notice of the foreclosure sale while the application was under consideration, the evidence cited does not establish that Elite had notice of the foreclosure sale at that time. Separate statements are required to afford due process to the opposing party of the evidence to be disputed to defeat the motion. (Zimmerman, Rosenfeld, Gersh & Leeds LLP v. Larson (2005) 131 Cal.App.4th 1466, 1477.) Some courts apply the “Golden Rule” of summary judgment and summary adjudication which provides that if it is not contained in the separate statement, it does not exist. (Ibid.) “The corollary to [this] rule required courts to accept as true everything in the separate statement that was not disputed by the party opposing summary judgment. [Citations.]” (Ibid.) Other courts have held that the trial court has discretion to consider evidence not referenced in the moving
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party's separate statement and grant summary judgment or summary adjudication despite an inadequate separate statement. (Id. at pp. 1477-1478.) "In the exercise of this discretion, the trial court should consider whether the facts are 'relatively simple' and were 'clearly called to the attention of court and counsel'; whether 'evidence is not referenced, is hidden in voluminous papers, and is not called to the attention of the court at all'; and, most importantly, whether, despite the absence of a proper separate statement, the opposing party has sufficient notice of the evidence it must dispute to defeat the motion. [Citations.]" (Varshock v. Department of Forestry & Fire Protection (2011) 194 Cal.App.4th 635, 653.) To the that there may be evidence elsewhere in Federal's evidence, it was not called to the attention of the court and could and any such evidence would be hidden in voluminous papers as Federal submitted three volumes of evidence consisting of 1,166 pages with Volume 1 totaling of 452 pages, Volume 2 totaling 481 pages, and Volume 3 totaling 233 pages, while failing to fully comply with California Rules of Court, rule 3.1110(f)(4) which requires that electronic exhibits include electronic bookmarks with links to the first page of each exhibit and with bookmark titles that identify the exhibit number or letter and briefly describe the exhibit.

As Federal fails to show that Elite had notice of the foreclosure sale before the issuance of the Policy and failed to disclose the same to Federal, Federal fails meet its burden to show that Plaintiff cannot establish that Federal acted unreasonably in denying the claim and voiding the Policy on the ground that Elite failed to disclose the foreclosure sale.

With regards to the FAC's allegations as to Federal's ground to deny the claim and void the Policy on the basis that Elite failed to disclose the pending SEC investigation into whether Elite was obtaining investors through securities fraud, it is undisputed that in May 2018, the United States Securities and Exchange

Commission (SEC) notified Elite that it was under investigation and issued a subpoena for records and a personal appearance to testify regarding the investigation on May 22, 2018. (SSUMF, 3.) However, there is no asserted material fact that supports that this investigation was pending at the time of the application or while the application was being considered. As a result, Federal fails to meet its burden to show that Plaintiff cannot establish that Federal acted unreasonably in denying the claim and voiding the Policy on the grounds that Elite failed to disclose a pending SEC investigation.

To the extent that Federal argues that Plaintiff cannot establish that Federal's conduct in the investigation and denial of coverage due to concealment is unreasonable as to the failure to disclose Elite's financial condition, Federal does not seek summary adjudication of this specific ground for denial. Instead, Federal seeks adjudication as to its denial of coverage due to concealment as a whole. This fails since Federal fails to show that Plaintiff cannot establish that Federal acted unreasonably in denying the claim and voiding the Policy as at least two of the four grounds upon which Federal based its denial, as discussed above.

Based on the foregoing, Federal fails to establish that Federal is entitled to summary adjudication of Plaintiff's second cause of action for breach of the implied covenant of good faith and fair dealing because Plaintiff is unable to establish that Federal's conduct in the investigation and denial of coverage due to concealment was unreasonable (Issue No. 2). Federal relies on the same undisputed material facts above, and thus, fail to establish material facts supporting Issue No. 3. A moving party should "[i]nclude only those facts which are truly material to the claims or defenses involved because the separate statement effectively concedes the materiality of whatever facts are included." (Nazir v. United Airlines, Inc. (2009) 178 Cal.App.4th 243, 252.) The motion for summary

		adjudication of the second cause of action (Issue Nos. 2 and 3) is DENIED. Additionally, Federal seeks to resolve the entire second cause of action but does not address all the conduct that the FAC alleges is unreasonable. As noted above, the second cause of action alleges that Federal breached its duty of good faith and fair dealing owed to Elite through the following unreasonable conduct committed without proper cause: a) failing to affirm or deny coverage with a reasonable time after proof of loss requirements were completed and submitted; b) conducting a biased claim investigation aimed at denial rather than a full, fair and thorough claim investigation; c) failing to diligently search for evidence to support the claim and instead focusing exclusively on evidence to defeat the claim; d) engaging in post claim underwriting for the sole purpose of engineering a rescission of the Policy; e) unreasonably prolonging the claim investigation and delaying resolution of the claim; f) rescinding the Policy based on insufficient cause; g) misleading Elite by referring to a material misrepresentation on the application when there was no misrepresentation, let alone a material one; h) withholding the benefit due under the Policy; i) failing to consider Elite's interests as much as its own in evaluating the claim;
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	j) denying the claim as a matter of company economics instead of based on the merits of the claim. (FAC, ¶ 77.) The party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 849-850.) Where a moving parties’ separate statement does not address a material fact in the complaint, it does not assert a prima facie case of entitlement to summary judgment and does not shift the burden to plaintiff to file an opposing separate statement. (Teselle v. McLoughlin (2009) 173 Cal.App.4th 159, 160.) “A summary judgment may not be granted when the moving party has failed to ‘refute [a] tenable pleaded theor[y].’ [Citation.]” (Id. at pp. 161-162.) Further, Federal does not address the allegations in the FAC concerning waiver in its moving papers and does not present as an issue for adjudication that it did not waive its right to void the Policy or deny coverage to establish that it is entitled to summary adjudication of the second cause of action. In order to be entitled to summary judgment, a moving party must defeat all theories asserted as to a cause of action alleged in a complaint. (Marketing West, Inc. v. Sanyo Fisher (USA) Corp. (1992) 6 Cal.App.4th 603, 613 [“in order to be entitled to summary judgment, respondent had to defeat that theory [fraud based on concealment] in addition to the fraud based on affirmative misrepresentation” and the burden is on respondent to negate at least one element of the action for fraud based on concealment].) Claim for Punitive Damages Issue No. 4: Federal is entitled to summary adjudication of Plaintiff's claim for punitive damages
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because Federal's officer, director or managing agent did not act with malice, oppression or fraud.

The FAC alleges that Federal's claims handling was conducted in bad faith and that its rescission of the Policy was malicious, oppressive and fraudulent. (FAC, ¶ 5.)

It is alleged that the decision to deny Elite's claim and rescind the Policy was made by David L. Massey. (FAC, ¶ 47.) As to Massey, the FAC alleges the following: "As indicated in the denial letter, Massey is an 'Executive General Adjuster, AVP' at Federal. In this high-ranking role, Massey is responsible for, among other things, large-loss claims for an entire multi-state region and has the authority to settle these claims, as well as other lower-value claims. Although Massey reports to the "Vice President, Claims Leader" at Federal, he receives no day-to-day oversight and little-to-no supervision over his claims-handling decisions. In fact, it is Massey who oversees and supervises the "Senior General Adjusters" and other lower-ranking adjusters within his region. These lower-ranking adjusters need Massey's authority to settle claims over a certain dollar value and seek Massey's direction on various claims-handling issues. Because Massey exercises substantial independent authority and judgment in corporate decision-making, as explained above, his decisions ultimately determine corporate policy, including the settlement standards within his region." (Ibid.)

Plaintiff seeks punitive damages for Federal's alleged breach of the duty of good faith and fair dealing. (FAC, Prayer for Relief, ¶ c.)

Civil Code section 3294(b), provides: "An employer shall not be liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of

		others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director or managing agent of the corporation.” “When the defendant is a corporation, ‘[a]n award of punitive damages against a corporation . . . must rest on the malice of the corporation’s employees. [¶] But the law does not impute every employee’s malice to the corporation.’ [Citation.] Instead, oppression, fraud, or malice must be perpetrated, authorized, or knowingly ratified by an officer, director, or managing agent of the corporation. [Citation.] ‘ “[M]anaging agent” . . . include[s] only those corporate employees who exercise substantial independent authority and judgment in their corporate decision making so that their decisions ultimately determine corporate policy.’ [Citation.]” (Wilson v. Southern California Edison Co. (2015) 234 Cal.App.4th 123, 164.) “A company ratifies a managing agent’s decision when it knows about and accepts the decision. [Citations.]” (Tilkey v. Allstate Insurance Co. (2020) 56 Cal.App.5th 521, 554.) Federal submits evidence that at the time of the loss, David Massey was an Executive General Adjuster, AVP; that in this role, Massey is part of a team that is assigned to claims with exposure of \$5 million or more that reported to the Vice President of Large Loss; that Massey’s duties did not include the development of claims handling guidelines or Federal’s policies for the application of policy language or corporate standards; that Massy was first assigned to the claim on May 19, 2022; and that between his assignment to the claim and the issuance of the denial letter on May 27, 2022, Massey’s involvement with Elite’s claim was limited to confirming whether the Claims Department had received all outstanding reports and that all consultants had been paid, to confer with the SIU field and
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	management teams regarding the basis for the denial, and to issue the final denial letter approved by upper management (SSUMF, Nos. 79, 80, 82, 83, 85.) Plaintiff does not dispute these facts. In opposition, Plaintiff does not address the actual allegations contained in the FAC with regards to Massey and the claim for punitive damages, and instead, appears to now assert that Dan Jaeger is the one responsible for the denial letter, and is a “managing agent.” In so doing, Plaintiff fails to dispute, and implicitly concedes that Massey is not an officer, director, or managing agent such that punitive damages could not be imposed against Federal. The motion for summary adjudication as to the claim for punitive damages (Issue No. 4) is GRANTED. To the extent that Plaintiff seeks punitive damages against Federal based on Jaeger’s acts, “. . . summary judgment cannot be denied on a ground not raised by the pleadings. [Citations.]” (Bostrom v. County of San Bernardino (1995) 35 Cal.App.4th 1654, 1663.) Federal’s Evidentiary Objections “In determining if the papers show that there is no triable issue as to any material fact, the court shall consider all of the evidence set forth in the papers, have been made and sustained by the court,” (Code Civ. Proc. § 437c(c).) “In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to the disposition of the motion.” (Code Civ. Proc. § 437c(q).) Objections to Declaration of Karen Sue Naylor Objection Nos. 1-3 are OVERRULED.
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		In light of the Court’s ruling above, Federal’s objections to the Declaration of Rick Wackeen, Alan Gottlieb, and James Kinsel are not material to the disposition of the motion. Defendant to give notice
110	Cunningham vs. FCA US, LLC. 24-01431302	Motion for Bifurcation – continued from 6/16 The Court has read and considered the Opposition that was filed by Plaintiff. Defendant FCA US, LLC (“Defendant”) moves for an order bifurcating trial with regard to plaintiffs Dana Lynn Cunningham and Cara Leigh Cunningham’s (“Plaintiffs”) claim for punitive damages, precluding Plaintiffs from introducing evidence of or otherwise referring to Defendant’s financial condition unless and until Plaintiffs prove a prima facie case of liability for punitive damages, pursuant to Civil Code section 3295(d). Section 3295(d) provides, in relevant part: “The court SHALL, on application of any defendant, preclude the admission of evidence of that defendant’s profits or financial condition until after the trier of fact returns a verdict for plaintiff awarding actual damages and finds that a defendant is guilty of malice, oppression, or fraud in accordance with Section 3294.” “[I]n practice bifurcation under this section means that all evidence relating to the amount of punitive damages is to be offered in the second phase, while the determination whether the plaintiff is entitled to punitive damages (i.e., whether the defendant is guilty of malice, fraud or oppression) is decided in the first phase along with compensatory damages.” (Holdgrafer v. Unocal Corp. (2008) 160 Cal.App.4th 907, 919.) Pursuant to section 3295(d), Defendant’s Motion to Bifurcate is GRANTED. It is ORDERED that Plaintiffs shall be precluded from admitting evidence of

		Defendant's financial condition in the first phase of trial and shall not introduce such evidence unless and until Plaintiffs have established a prima facie case of their entitlement to punitive damages. Moving party to give notice. 2. OSC re: Dismissal for Failure to Proceed
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